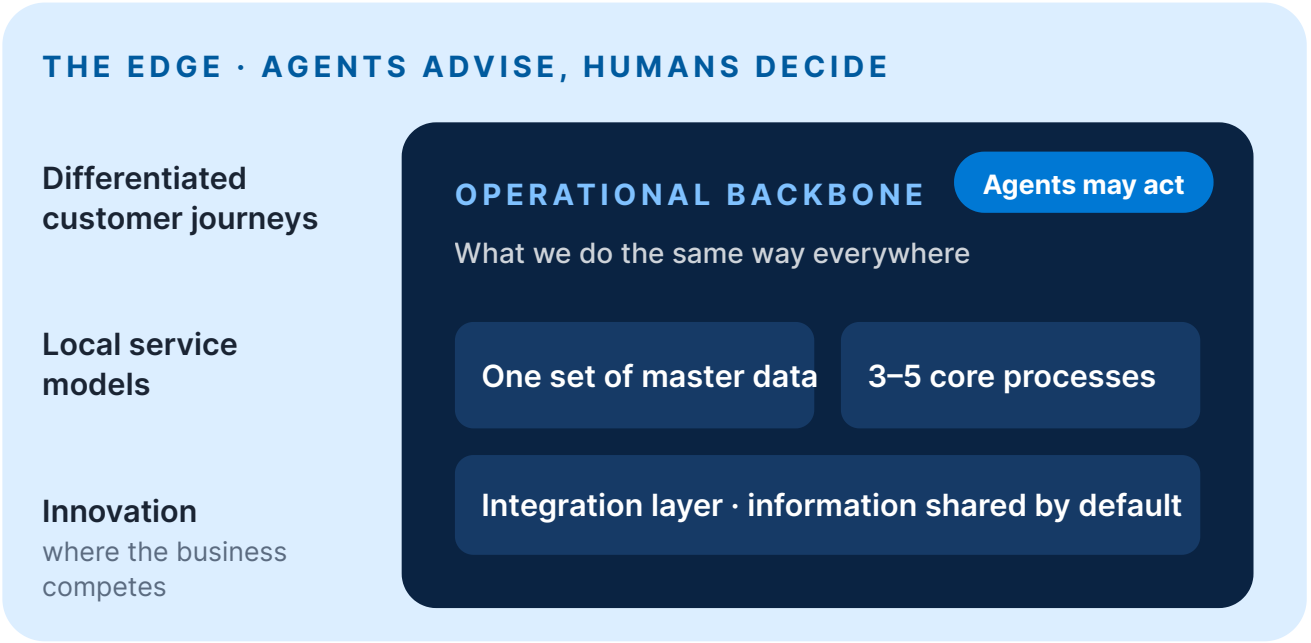
05

Simplify before you digitalise

Following **Jeanne Ross of MIT CISR**, the book argues that most enterprises are not too small or too old to be digital — they are too complex. The remedy is an **operational backbone**: the shared core the enterprise runs on, surrounded by an **edge** where it competes on difference.



Standardise the backbone ruthlessly; differentiate the edge deliberately. Most enterprises do the reverse: a fragmented core drowning in variants.

Retire before you add

No new AI capability enters a workflow until its redundant variants are named and scheduled for removal.

The business decides what is standard

Simplification imposed by IT alone fails; the business knows which variants carry real customer value.

Redesign the workflow, not the model

McKinsey's State of AI research keeps finding that the companies capturing value redesign workflows rather than deploy the most models. The workflow is the unit of transformation, redesigned in four moves — always in this order.

1
Define the outcome
One sentence, with a number in it.

2
Allocate the work
Agent alone, agent prepares, or human only.

3
Design the boundaries
Authority limits, escalations, never-do rules, audit trail.

4
Rewire the measures
Or the old workflow quietly returns.

Every redesign brings a **performance dip**. It is announced in advance, bounded, measured weekly and exited on criteria. What kills programmes is not the dip but the surprise of it.

FOR THE COO

You own end-to-end workflow ownership and the dip. **Redesign one workflow at a time, manage the dip openly, and never ask the operation to pause.**

KEY TAKEAWAYS

- ✔ The backbone/edge line decides where agents may act.
- ✔ Transformation happens per workflow, in four ordered moves.
- ✔ A planned dip is a managed variable; a surprise dip kills programmes.